handles all these conversions for users so that user experience simply revolves around the target asset.

In the Yield Protocol white paper,[26] the authors discuss interesting applications from the investor's perspective. An investor can purchase yTokens to synthetically lend the target asset. The investor would be paying X amount of the asset now to purchase the yTokens. Upon settlement, the investor receives X + interest. This financial transaction in total is functionally a lend of the target asset. Note that the interest is implied in the pricing and not a directly specified value. Alternatively, yTokens can be minted and sold to synthetically borrow the target asset, meaning X amount of the asset is received now (the face value) with the promise to pay X + interest in the future. This financial transaction is functionally a borrow of the target asset.

Additional applications include a perpetual product on top of yTokens that maintains a portfolio of different maturities and rolls short-term profits into long-term yToken contracts. For example, the portfolio may include three-, six-, and nine-month plus one-year maturity yTokens; once the three-month tokens mature, the smart contract can reinvest the balance into one-year maturity yTokens. Token holders in this fund would essentially be experiencing a floating rate yield on the underlying asset with rate updates every three months. The yTokens also allow for the construction of yield curves by analyzing the implied yields of short and longer term contracts. This allows observers to quantify investor sentiment among the various supported target assets.